Hormuz flows will likely prove sustainable

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【メール原文】

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Hormuz flows will likely prove sustainable, pulling down oil prices

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Brent oil prices are likely to trade in an $80-$100 per barrel band through the first quarter of 2027, as increased supply and a lower risk of US-Iran escalation affect prices.

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While Iran is continuing to attack shipping in the strait, the escort system is likely to keep flows near prewar levels, as attacks do only limited damage to most ships.

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There is no shortage of tankers, and while the supply of very large crude carriers (VLCC) may tighten, ample numbers of smaller tankers can help fill the gap.

Oil is likely to trade in a lower band in the first quarter of 2027. Lower demand, an increase in Middle East supply, and the lower probability of escalation in the US-Iran conflict will keep oil in an $80-$100 band through the first quarter.

As Eurasia Group noted (see: Markets face prolonged fuel squeeze even as crude flows recover , 6 November 2026), the crude market is now well supplied, and potentially even in a slight surplus. The US escort system in the Gulf, while expensive and risky, is likely to keep regional flows near prewar levels. Demand will recover slowly, if it recovers at all. Production outside the Middle East has also increased, especially from the Western Hemisphere (see: Brent unlikely to slip below $90 without US-Iran progress , 9 November 2026).

An escalation in the US-Iran conflict would drive prices into a higher band of $100-$120, while progress toward a deal would cause prices to slip into a $60-$80 band.

Iranian attacks disrupt but are currently not enough to stop the flow. Iran has been continuously attacking shipping in the Strait of Hormuz, deploying a variety of means, including drone and missile attacks, as well as small mines deployed from rockets. According to figures from the UK Maritime Trade Organization, there is at least one successful attack every day.

However, Iran’s attacks have not succeeded in discouraging tanker transits. The average crude flow out of the region has been near prewar levels since early October, though disruptions from attacks have caused the flow to oscillate significantly day to day.

At the current rate, tanker capacity is unlikely to be seriously constrained. While we had initially anticipated constraints on tanker capacity by the end of the first quarter (see: The political window for escalation has closed , 9 November 2026), we are revising that view following a closer examination of the situation within the shipping industry and the nature of Iran's attacks. Given their size, VLCCs tend to suffer limited damage from Iranian missiles, drones, and small mines. Ships that are struck rarely have to stop. A few have been disabled and towed away, and only two vessels (both container ships) have been sunk since July. At the current rate, there is sufficient spare tanker capacity to continue the shuttle service in the strait through the first quarter of 2027 and likely beyond, while damage from attacks can be repaired in less than one or two weeks. While the supply of VLCCs is fairly tight, there are no signs of a shortage, and tanker rates have fallen from their October highs.

Attacks impose constant costs and risks, however. Tanker companies are having trouble finding crews and captains willing to undertake the dangerous voyage through the strait; those employed charge high fees for taking the risk. While Iranian attacks are rarely enough to stop or disable a tanker, strikes against smaller tankers bring the risk of oil spills and environmental damage—at least three spills have been recorded since July.

Some companies are shifting their business to smaller tankers. There are hundreds of such vessels available. If Iranian attacks reduce the number of available VLCCs, smaller tankers could fill the gap, though they would present new challenges to the escort system: more ships would be needed to move the same volume of oil, and the vessels would be more vulnerable to Iranian attack because they lack the size and multiple hulls of the VLCCs.

Should the standoff continue, LNG flows are likely to increase. Qatar’s gas exports have returned to roughly 30% of their prewar levels, and there are indications that Doha intends to ramp up supply. A large number of LNG tankers have been chartered, and the country is moving forward with an expansion of production from the North Field, which it shares with Iran, where it is known as South Pars.

While Qatar is on generally good terms with Tehran, its tankers are not immune to attack. At least two incidents have occurred since July, including one attack that occurred while an Iranian delegation was in Doha for talks in November. Because gas tankers are more vulnerable to direct fire, exports would likely fall again if Iran intensified attacks on Qatari vessels.

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